In their thinking, such a bank could effectively maintain the gold standard and also manage paper currency. Since the Presidency Banks had rendered good service, the government thought that an attempt should be made to absorb the three banks into one institution and constituted on a sterling basis so as to command confidence and attract sufficient capital. Thus, it was apparent that central banking functions were also envisaged for the new bank at this stage.[7]

The amalgamation was opposed, among others, by the Bombay Chamber of Commerce and the Lieutenant Governor of Bengal. The vastness of the country was cited as a reason as to why such a central bank would be inadequate. The Lieutenant Governor thought that a huge monopoly was not in the public interest and that credit was 'a matter of local knowledge and experience.'[8] Edward Law, Finance Member, concluded a year later 'that there is under present conditions no real necessity for the foundation of such a bank in the interests of trade' and that 'the direct cost of its establishment would be greater than I venture to recommend for acceptance.'[9] But he was also of the view that if the practical difficulties could be overcome, it would be advisable to establish such a bank. The Secretary of State accepted this view with some reluctance observing that this objective be kept in mind, and the scheme revived, whenever it was possible to overcome the practical difficulties associated with its implementation.

In 1913, the Chamberlain Commission (Royal Commission on Indian Finance and Currency), was appointed to study and report on aspects of the working of the currency and exchange system. One of the members of the Commission was the young economist and sometime civil servant, John Maynard Keynes who would later be remembered as the most influential economist of the last century. Keynes was only thirty at the time but his knowledge of Indian finance was prodigious, and following his retirement from the India Office,[10] he played a delicate part acting as a public defender and a private critic of India's evolving financial system. He had given a series of lectures on the subject at the London School of Economics in 1911 and just a month after the Royal Commission started examining witnesses, his book on the subject, *Indian Currency and Finance*, appeared.[11]

That Keynes was accepted as a knowledgeable critic is apparent from the fact that Lionel Abraham, the Financial Secretary at the India Office had